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Solution

i. ` 5,000 spent towards additions to buildings is capital expenditure.

ii. The entire amount of ` 32,000 should be treated as capital expenditure.

iii. ` 10,000 spent on painting the new factory should be treated as capital expenditure.

iv. Freight, cartage and erection charges are capital expenditures.

v. ` 150 being expense to bring the asset in usable condition, is a capital expenditure.

Illustration 5

Classify the following expenses as capital or revenue.

i) The sum of ` 3,200 has been spent on a machine as follows:

a) ` 2,000 for additions to double the output.

b) ` 1,200 for repairs necessitated by negligence.

ii) Overhauling expenses of ` 25,000 for the engine of a motor car to get better fuel efficiency.

Solution

i) a) ` 2,000 spent on additions should be treated as capital expenditure

b) ` 1200 spent on repairs should be treated as revenue expenditure.

ii) Overhauling expenses are incurred for the engine of a motor car to get better fuel efficiency. So this expenditure should be treated as capital expenditure.

Illustration 6

Classify the following expenditures and receipts as capital or revenue:

i) ` 10,000 spent as travelling expenses of the directors on trips abroad for the purchase of fixed assets.

ii) Amount received from trade receivables during the year.

iii) Amount spent on demolition of building to construct a large building on the same site.

iv) Insurance claim received on account of a machinery damaged by fire.

Solution

i) Capital expenditure

ii) Revenue receipt

iii) Capital expenditure

iv) Capital receipt.